



McDonald's

Present By :
JIAXIN ZHANG





Introduction



Background



Potential Consumers



Problem Statement



Prons & Cons





Introduction



McDonald's is a brand almost everyone grows up with — it's familiar, fast, and always easy to find. Whether it's grabbing breakfast on the way to class or picking up a late-night meal, people choose McDonald's because it's simple and convenient.

But serving millions of customers every single day also means the brand has to constantly improve how people order and interact with the restaurant. In the last few years, McDonald's has been upgrading its entire customer experience by introducing new digital tools, mobile features, and AI-powered systems.





Background

Founded by Richard and Maurice McDonald in San Bernardino, California, originally operating as a small drive-in restaurant.



1940

The McDonald brothers introduced the Speedee Service System, a highly standardized and efficient kitchen workflow that became the foundation of the modern fast-food industry.



1948



1960s–1990s



McDonald's expanded internationally, starting with Canada and Puerto Rico in 1967, rapidly becoming one of the most recognizable brands worldwide.

2010s–Present



Introduced mobile ordering, loyalty programs, self-service kiosks, and delivery partnerships. In 2019, McDonald's acquired Dynamic Yield, enabling AI-powered dynamic menu personalization across thousands of locations.



Problem Statement

- ✦ **• Improve Ordering Speed & Reduce Friction**

Peak hours often create slow lines. McDonald's wants a faster, smoother ordering process for everyone.

- ✦ **• Make the Menu Easier to Navigate**

A large menu can overwhelm customers. People need clearer, smarter guidance when choosing food.

- ✦ **• Offer More Relevant Recommendations**

Customers increasingly expect suggestions that match their habits, time of day, or preferences.

- ✦ **• Modernize the Customer Experience**

To keep up with digital habits, McDonald's needs more interactive, tech-driven features.

- ✦ **• Avoid Missed Sales Opportunities**

Without smart upsell suggestions, customers may skip items they would have enjoyed or found useful.





Potential Consumers



✦ Drive-Thru Customers

- Need quick ordering
- Long wait times during peak hours
- AI menus can reduce congestion and speed up decision-making.

✦ Mobile App Users

- Use coupons and loyalty points
- Affected by personalized recommendations
- A core group for digital experiences.

✦ Busy Adults & Commuters

- Seek a "fast, no-thinking" ordering experience
- AI recommendations can reduce decision fatigue.

✦ Families & Young Customers

- More receptive to interactive experiences (such as discounts, AR, personalized recommendations)
- A crucial group for cultivating McDonald's brand loyalty.



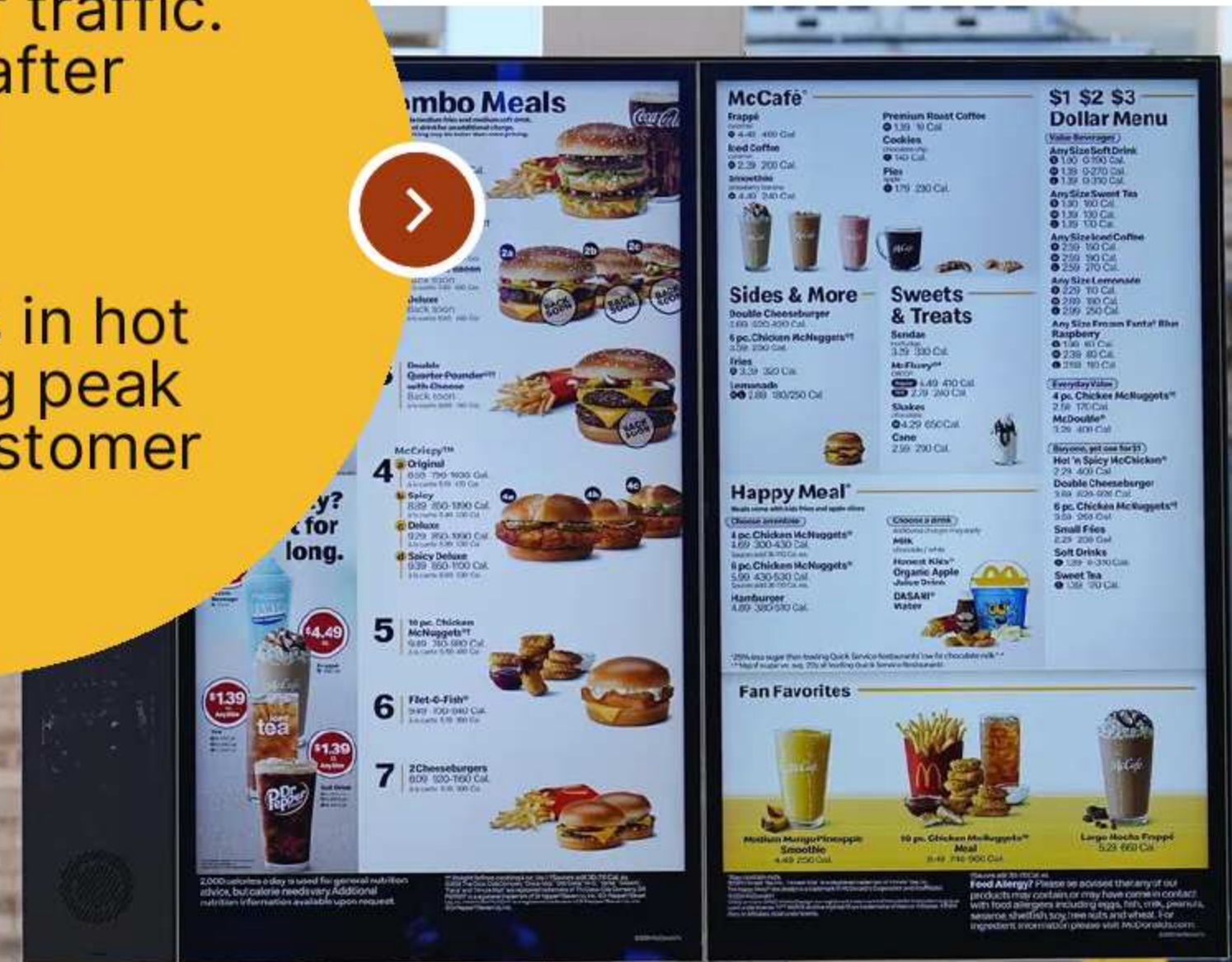


McDonald's AI Dynamic Menu Boards



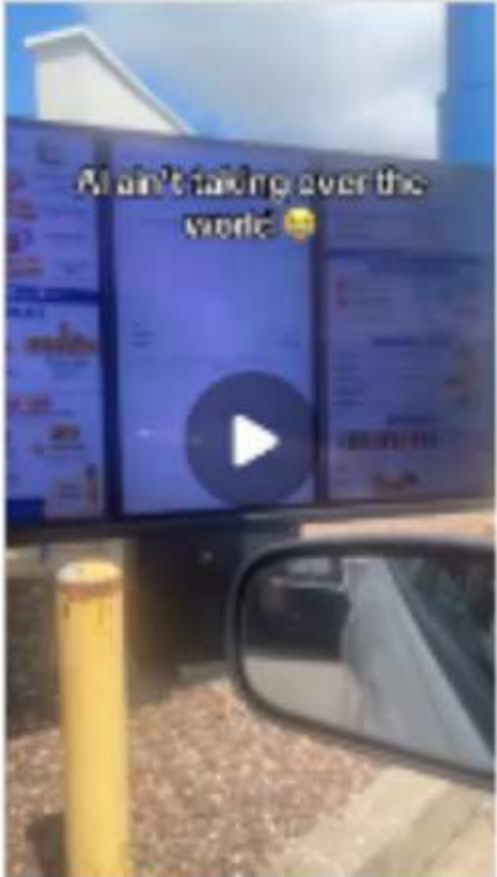
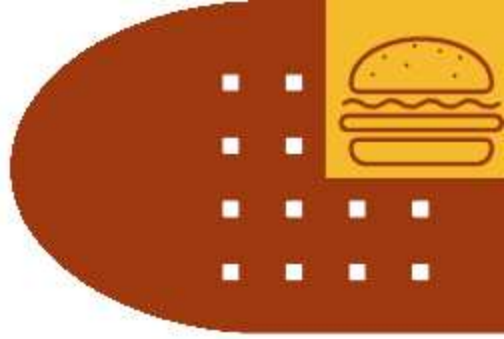
McDonald's AI-powered dynamic menu is a smart menu system that automatically adjusts recommendations in real time based on time, weather, inventory, and customer traffic. McDonald's began large-scale deployment in the US after acquiring Dynamic Yield in 2019, and it is now used in thousands of drive-thru stores.

For example, it automatically recommends cold drinks in hot weather and prioritizes faster-to-prepare items during peak hours, making ordering faster and more tailored to customer needs.

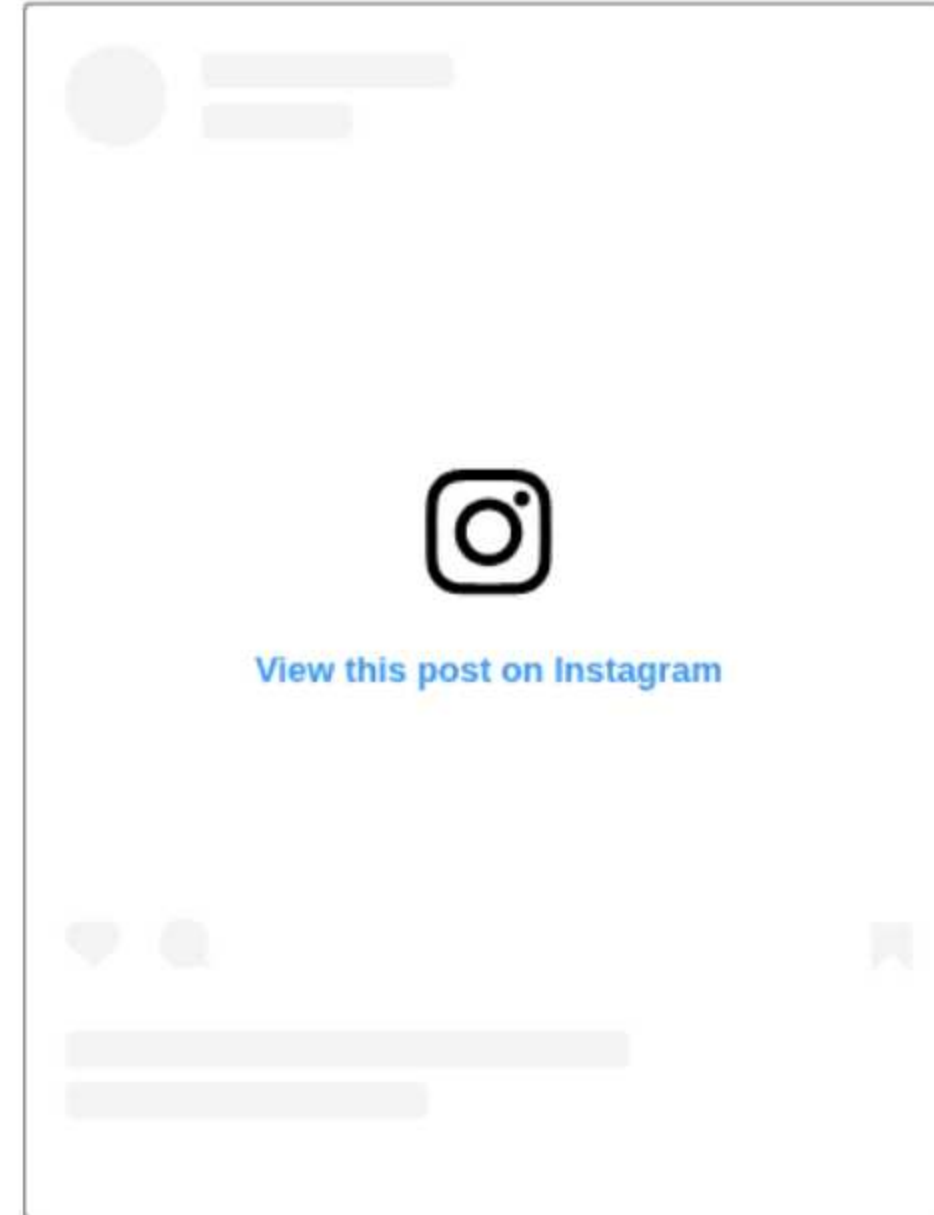




Video Examples



Addy (@omgaddy) • Instagram reel
31K likes, 171 comments - omgaddy on
August 8, 2025: "NAHHHHH AI AT A...
[instagram.com](https://www.instagram.com)





Pros & Cons

★★ PROS

- Reduces reliance on human labor during low-staff hours.
- Provides consistent service without fatigue or emotional variation.
- Potential long-term cost reduction in staffing.
- Enables collection of voice-interaction data for future model improvement.



★★ CONS

- Frequent misinterpretation of customer speech, accents, background noise.
- Slower ordering process due to repeated corrections and confirmations.
- Creates a mechanical, frustrating experience for customers.
- Requires employees to intervene frequently, increasing workload.
- Poor handling of customized or complex orders.





Impacts



NEGATIVE IMPACTS

- Longer drive-thru ordering times caused by repeated communication errors.
- Decreased customer satisfaction; viral complaints on social media.
- Staff required to “rescue” failed AI interactions, reducing efficiency.
- Extended waiting lines and slower drive-thru flow.

LIMITED POSITIVE IMPACTS

- Faster processing of basic, standard orders.
- More consistent performance compared to inexperienced staff.
- Useful during off-peak hours when human staff is limited.





Strategic Analysis



Current AI functions too much like a human order-taker, leading to communication barriers and inefficiencies.

McDonald's should reposition AI from a conversational agent to a menu-intelligence system.

Why?

- Customers want speed and accuracy—not conversations with AI.
- Miscommunication wastes time and reduces satisfaction.
- AI is inherently stronger at data-driven recommendation than natural conversation.
- Personalized menu displays reduce decision fatigue and accelerate ordering.

AI should support what customers see, not what customers say.





Suggestions



- **Shift AI focus toward dynamic menu personalization**

Prioritize real-time menu optimization rather than voice-based order taking.

- **Implement a hybrid model**

AI handles recommendations; humans or touch interfaces handle confirmation.

- **Strengthen App–Drive-Thru integration**

Use customer app history to refine drive-thru menu suggestions.

- **Optimize recommendations during peak hours**

Prioritize fast-prep items to maintain drive-thru speed.

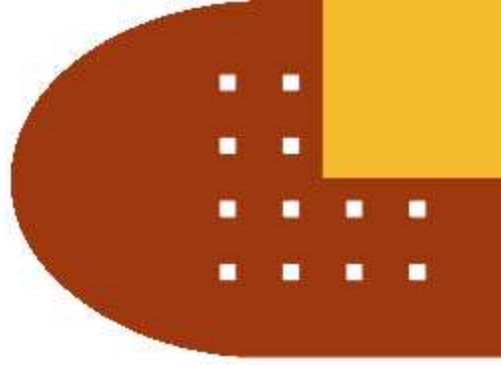
- **Increase transparency for staff**

Provide employees with clear reasoning behind AI recommendations to ensure alignment.





Ethical Concerns



- **Data Transparency**

Customers should know why certain items are recommended.

- **Algorithmic Bias**

AI may prioritize high-margin items over healthier options.

- **Influence on Vulnerable Groups**

Children and teens may be overly targeted with high-calorie suggestions.

- **Privacy & Data Boundaries**

Use of app history and behavioral data must be clearly communicated.

- **Health Responsibility**

AI-driven “temptation-based” recommendations raise concerns for dietary well-being.





Discussion Questions

Should fast-food AI systems be allowed to personalize recommendations for children or teens? Why or why not?

If AI systems can subtly influence what people order, does this challenge the idea of “customer choice”?

